

AI FOR IMPACT · BOSTON LXP 2026

International
& Digital
Business School



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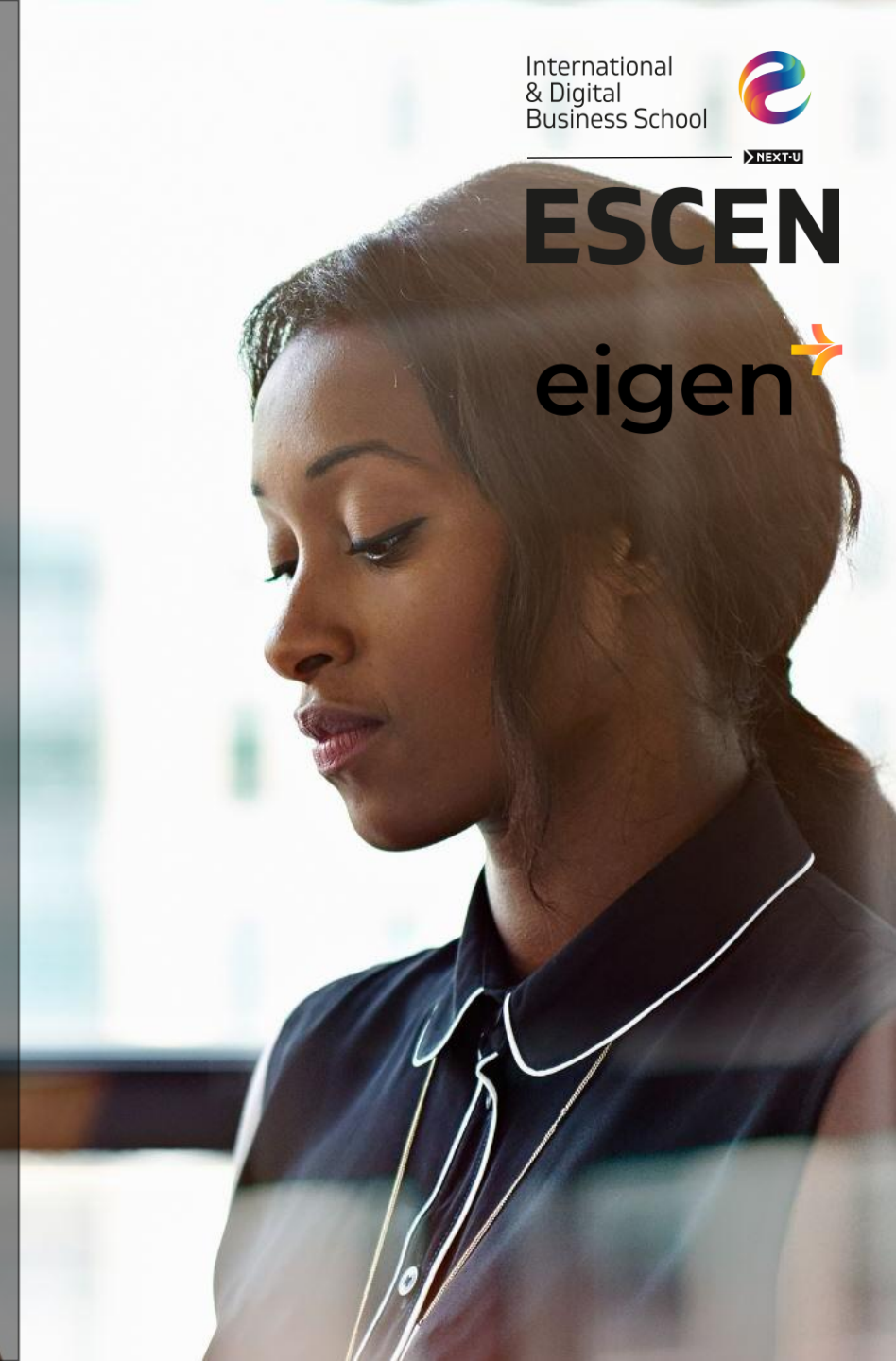
DAY 3

SESSION 3 · WORKSHOP DAY

Making It Viable

Market structure and monetization.

Instructor: Deepak Sathyanarayan | Eigen Strategic Systems



Today's objectives

Explore Business Model Considerations & Evaluate Solutions to Prepare for Pitches.

- **Structural market analysis:** TAM/SAM/SOM, forces, segments, buyer dynamics, distribution.
- **Defensible business model:** Revenue, pricing logic, unit economics, who-pays-and-why.
- **Strategic decisions explicit:** What you cut, what you sequenced, and why.
- **Risk Defined, Mitigations Planned:** Market, technical, adoption risks & paired mitigation strategies.

Beyond market size - understand the structure

1

Forces shaping the market

Who has power: buyers, suppliers, substitutes, new entrants?

Porter's 5 Forces:

- 1 – Competitive Rivalry
- 2 – Threat of New Entrants
- 3 – Threat of Substitutes
- 4 – Bargaining Power of Buyers
- 5 – Bargaining Power of Suppliers

2

Segments and buyer dynamics

TAM: Total Addressable Market

SAM: Serviceable Addressable Market

SOM: Serviceable Obtainable Market

Name your first segment, buyer persona, distribution channel.

3

Jobs to be Done (JTBD)

Your Value ADD:

What "job" is your user hiring your product to do?

Value REPLACED:

What are they firing to make room?

Defensible Monetization

Revenue model & pricing

- **Subscription? Usage-based? Marketplace? Licensing?**
- **Who is the buyer?** *Often not the user!*
- **Price anchor:** *Find closest comparable. Justify why you are above or below.*
- **Willingness-to-pay:** What would a customer cut from their budget to add you?

Unit economics & GTM

- **Unit Costs:** Per user, per cycle of API calls
- **Customer Acquisition Cost (CAC):** How do you acquire your first 100 customers? *Sales Costs / # of Customers*
- **Distribution Leverage:** API, partner, marketplace, community?
- **Sales Motion:** self-serve, sales-led, or product-led?

Stress-test your AI + Architecture Necessity Argument

1

If GPT-5 launches free tomorrow

Does your product still have an edge?

Or does it commoditize overnight?

2

If you had to remove the AI

What would the product become?

Is the product still valuable, or does it fail to perform?

3

If a non-AI competitor enters

What **specific user value** does your AI solution unlock?

*Quality? Speed? Efficiency?
Safety? New Opportunity?*

Three risks for every solution

*Naming a risk is a strength, not a weakness. Pair every risk with **mitigation strategy**.*

- **Market risk:** What if no one is willing to pay? **What's the cheapest test of willingness to pay?**
- **Technical risk:** What part of the AI pipeline is fragile? **What happens at scale or with incorrect inputs?**
- **Adoption risk:** Why does the user change behavior? **Do you replace, join, or wrap existing workflows?**

DEFINE A LIKELIHOOD FOR EACH RISK OR FAILURE MODE. 1 (Low Likelihood) – 5 (High Likelihood)

Underlying Trade-offs: Cost vs. Accuracy vs. Speed. **Define, own, and defend the trade-offs you choose.**

Limitations vs. excuses

Excuses · avoid

- "We didn't have time."
- "AI will get better, so this will work."
- "Users will figure it out."
- "We'll figure out monetization later."
- "Privacy is just a checkbox."

Limitations · own them

- We only built for English; multilingual is Phase 2 target.
- Our V1 assumes specific inputs; need control layer to manage expected incorrect inputs like ____.
- We focused on the consumer; the SMB version is not our best strategy because ____.
- Hallucination rate is ~5%; for final we will need x% and we will get there by ____.

Red-team round: 10-minutes for each team (Last Hour)

1

Live Demo

- Problem Brief
- Solution Spec
- v0 Prototype

2

Attack three things

- Market claims
- AI necessity argument
- Customer economics

3

Give one specific suggestion

"This would be stronger if you researched or tested 'x' by next week."

Your deliverables: Business Case + Risk Slides

Business Case slides:

1) market structure, 2) TAM/SAM/SOM with sources, 3) three competitors, 4) revenue model, 5) unit economics, 6) first-100-customers plan.

Risks & Mitigation slides:

1) top market, tech, adoption risks, and 2) mitigation strategies for each risk.

IF NOT FINISHED IN CLASS - DUE BEFORE NEXT SESSION

Finish the Business Case and Risk Register slides if not done in class.

Apply peer red-team feedback to all materials to-date, business case, risk, and prototype design.

NEXT WEEK

Day 4: Crafting your pitch and dry runs.